

Completed acquisition by Atlantic SFDT SA of Woolamai Holdings Jersey Limited

ME/6511/15

The CMA's decision on reference under section 22(1) of the Enterprise Act 2002 given on 5 June 2015. Full text of the decision published on 19 June 2015.

Please note that [X] indicates figures or text which have been deleted or replaced in ranges at the request of the parties for reasons of commercial confidentiality.

SUMMARY

1. On 6 January 2015, Atlantic SFDT SA (**Atlantic**) acquired Woolamai Holdings Jersey Limited (**Woolamai**) (the **Merger**). Atlantic and Woolamai are together referred to as the **Parties**.
2. The Competition and Markets Authority (**CMA**) considers that the Parties have ceased to be distinct and that the turnover test is met. The four-month period for a decision, as extended, has not yet expired. The CMA therefore considers that a relevant merger situation has been created.
3. The Parties overlap in the supply of commercial boilers in the UK. The CMA has assessed the impact of the Merger on the supply of commercial boilers to UK customers. Additionally, the CMA could not rule out that in two segments within this frame of reference the ability of some customers to switch to alternative products would be limited. Therefore, the CMA also assessed the impact of the Merger in these two segments: the supply of non-condensing and oil-fuelled commercial boilers to UK customers.
4. In relation to the supply of all commercial boilers to UK customers, the CMA found that the Parties' combined share of supply was moderate and the increment arising from the Merger was small. Further, the CMA believes that several existing competitors will provide sufficient competitive constraints on the merged entity.
5. In its assessment of the supply of non-condensing commercial boilers to UK customers, the CMA found that many boilers of this type will not be compliant

with the Energy Related Products directive¹ (**ErP**), which (as far as commercial boilers are concerned) comes into force in September 2015. Following that date, the CMA understands that such boilers will not be eligible for sale in the UK. The CMA believes that this will have a significant effect on sales in this segment. The CMA believes that, to the extent that any non-condensing commercial boilers can be sold in the UK after the implementation of this legislation, several existing competitors will provide sufficient constraint on the merged entity.

6. In relation to the supply of oil-fuelled commercial boilers to UK customers, the CMA found that the Parties' combined share of supply was moderate and the increment arising from the Merger was small. Additionally, the evidence indicated that several existing competitors will provide sufficient constraint on the merged entity.
7. Finally, the CMA notes that no third parties raised concerns about the Merger.
8. The CMA believes that these constraints, taken together, are sufficient to ensure that the Merger does not give rise to a realistic prospect of a substantial lessening of competition (**SLC**) as a result of horizontal unilateral effects.
9. The Merger will therefore **not be referred** under section 22(1) of the Enterprise Act 2002 (the **Act**).

ASSESSMENT

Parties

10. Atlantic is a private company incorporated in France. It supplies ventilation, air conditioning and water heating products, as well as products used to heat residential and commercial premises. Hamworthy Heating Ltd (**Hamworthy**), a subsidiary of Atlantic, supplies commercial boilers as well as a range of commercial water heating and renewable energy products in the UK. The UK turnover of Atlantic was approximately £[X] in 2014.
11. Woolamai is the ultimate holding company of ISG Boiler Holdings Limited (**ISG**), a UK company active in the supply of domestic boilers and commercial boilers in the EU, mainly in the UK and Ireland. The turnover of ISG in 2013 was around £[X] worldwide and around £[X] in the UK.

¹ 2009/125/EC. Implementing regulations: 813/2013 and 814/2013.

Transaction

12. On 6 January 2015, Atlantic purchased 100% of the shareholding of Woolamai, such that Woolamai is now a wholly-owned subsidiary of Atlantic.

Jurisdiction

13. As a result of the Merger, the enterprises of Atlantic and Woolamai have ceased to be distinct.
14. The UK turnover of Woolamai exceeds £70 million, so the turnover test in section 23(1)(b) of the Act is satisfied.
15. The Merger completed on 6 January 2015 and was first made public on the same day. The four-month deadline for a decision under section 24 of the Act is 11 June 2015, following extension under section 25(2) of the Act.
16. The CMA therefore believes that it is or may be the case that a relevant merger situation has been created.
17. The initial period for consideration of the Merger under section 34ZA(3) of the Act started on 8 April 2015 and the statutory 40 working day deadline for a decision is therefore 5 June 2015.

Counterfactual

18. The CMA assesses a merger's impact relative to the situation that would prevail absent the merger (ie the counterfactual). For completed mergers the CMA generally adopts the pre-merger conditions of competition as the counterfactual against which to assess the impact of the merger. However, the CMA will assess the merger against an alternative counterfactual where, based on the evidence available to it, it considers that, in the absence of the merger, the prospect of these conditions continuing is not realistic, or there is a realistic prospect of a counterfactual that is more competitive than these conditions.²
19. The Parties submitted that the appropriate counterfactual against which to assess the merger is the sale of ISG to an alternative purchaser, as they believed that ISG's previous owner wished to effect a sale in order to realise a return on its investment.

² [Merger Assessment Guidelines](#) (OFT1254/CC2), September 2010, from paragraph 4.3.5. The [Merger Assessment Guidelines](#) have been adopted by the CMA (see [Mergers: Guidance on the CMA's jurisdiction and procedure](#) (CMA2), January 2014, Annex D).

20. Although there was a possibility that, in the absence of the Merger, ISG might have been sold to another party, it is not clear that this would have presented a more or less competitive situation than the pre-Merger conditions, as the Parties have presented no information on alternative purchasers. When faced with an alternative counterfactual, the CMA will adopt the realistic counterfactual that is the most competitive.³ Therefore, based on the evidence before it, the CMA has used the pre-Merger conditions of competition as its counterfactual. No third party put forward arguments in relation to the counterfactual.

Frame of reference

21. The CMA considers that market definition provides a framework for assessing the competitive effects of a merger and involves an element of judgement. The boundaries of the market do not determine the outcome of the analysis of the competitive effects of the merger, as it is recognised that there can be constraints on merger parties from outside the relevant market, segmentation within the relevant market, or other ways in which some constraints are more important than others. The CMA will take these factors into account in its competitive assessment.⁴

Product scope

22. The Parties overlap in the supply of commercial boilers.
23. The Parties submitted that the appropriate product frame of reference is the supply of all commercial boilers. Although they said that it is not appropriate to assess the Merger against a narrower frame of reference, the Parties set out several theoretical sub-divisions:
- (a) Condensing commercial boilers and non-condensing commercial boilers.
 - (b) Floor-standing commercial boilers and wall-hung commercial boilers.
 - (c) Gas-fuelled commercial boilers and oil-fuelled commercial boilers.
24. The CMA notes that, as every commercial boiler is either (i) wall-hung or floor-standing, (ii) condensing or non-condensing and (iii) oil-fuelled or gas-fuelled,⁵ there is a substantial degree of overlap between these theoretical segments.

³ See e.g. *Nasdaq Stock Market/ London Stock Exchange* (January 2007), paragraph 12.

⁴ [Merger Assessment Guidelines](#), paragraph 5.2.2.

⁵ Commercial boilers which use other fuel types (eg biomass) are available, though the Parties do not overlap in these products.

25. The Parties provided industry-level data showing that, in 2014, just over two-thirds of all commercial boilers were wall-hung, condensing and gas-fuelled.⁶ The CMA notes also that around [X]% of commercial boilers sold by the Parties in the UK in 2014 were wall-hung, condensing, gas-fuelled boilers. For this reason, the CMA believes that the outcome of separate competitive assessments of (i) wall-hung commercial boilers, (ii) gas-fuelled commercial boilers and (iii) condensing commercial boilers would be unlikely to differ from a competitive assessment of the impact of the Merger on the sale of all commercial boilers taken as a whole. The CMA has therefore carried out an assessment of the impact of the Merger on all commercial boilers. The CMA believes that, in ruling out competition concerns in relation to all commercial boilers (see paragraphs 72 and 73), concerns in respect of each of these segments can also be ruled out.
26. However, the CMA has considered whether the Merger should also be assessed separately in respect of (i) non-condensing commercial boilers, (ii) floor-standing commercial boilers and (iii) oil-fuelled commercial boilers, in addition to a frame of reference including all commercial boilers. The CMA has also considered whether the frame of reference should be segmented by boiler power output.

Condensing and non-condensing commercial boilers

27. The Parties told the CMA that condensing and non-condensing commercial boilers are used for the same purpose, ie the heating of commercial premises. However, they use different technology, with condensing boilers utilising heat from gasses which would otherwise be released into the atmosphere, making them more energy efficient. Unlike non-condensing boilers, condensing boilers also require access to a drain.
28. The Parties told the CMA that condensing boilers have a much lower lifetime fuel cost, but generally have higher up-front costs.⁷ They said that some customers prefer a non-condensing boiler because it requires a smaller initial capital investment.
29. The Parties said that the implementation of the ErP (see paragraphs 75 to 79) and the consequent replacement of non-condensing boilers with condensing boilers demonstrates the substitutability of these products.

⁶ The sales data showed that 85% of all commercial boilers were condensing and that 97% were gas-fuelled.

⁷ A competitor told the CMA that, in comparison to condensing boilers, non-condensing boilers have a higher initial cost of approximately 25% but reduced operating costs of up to 30%.

30. In Remeha Group/Baxi Holdings,⁸ the European Commission stated that a minority of third parties in its investigation pointed to separate markets for condensing and non-condensing boilers. It did not conclude on this point.⁹
31. Most customers which responded to the CMA's merger investigation said that it was easy or moderately easy to switch between non-condensing and condensing boilers. However, most of the responses from customers also indicated that, in certain circumstances, it may not be easy to switch (eg where drainage is not available). A wholesaler and a customer told the CMA that replacing a non-condensing boiler with a condensing one could be expensive, and that such a change could require customers to change other components in the heating system. They said that, faced with these additional up-front costs, some customers would prefer to replace a non-condensing boiler with another non-condensing boiler.
32. Taking into account the Parties' submissions and third party responses on substitution between condensing and non-condensing boilers, the CMA has, on a cautious basis, carried out a separate assessment of the impact of the Merger on non-condensing commercial boilers.

Floor-standing and wall-hung commercial boilers

33. The Parties told the CMA that floor-standing boilers and wall-hung boilers are interchangeable in terms of their functionality but wall-hung models require less space. They said that wall-hung boilers are more convenient as pipework can be positioned beneath the boiler unit whereas pipes connecting to floor-standing boilers generally need to be stored at the rear of the unit. The Parties submitted that innovations to reduce the size difference between these product types was evidence of the need for floor-standing boilers to react to the competitive threat posed by wall-hung models.
34. The Parties provided information on the commercial boilers available in the UK and their characteristics. This included information on whether each product is wall-hung or floor-standing and its power output. This evidence indicated that all non-condensing commercial boilers are also floor-standing and that, in general, boilers with larger power outputs are floor-standing.
35. In Remeha Group/Baxi Holdings, the European Commission's investigation was inconclusive on whether floor-standing and wall-hung boilers were in the same or different markets. Its report states that, while competitors rejected the

⁸ COMP/M.5573, European Commission, 21 October 2009.

⁹ Ibid, paragraph 24.

notion of supply-side substitutability between these segments, customers' views were mixed.¹⁰

36. No third party suggested to the CMA that it was difficult to switch between floor-standing and wall-hung boiler types, and one customer stated that it was easy to do so 'in 99% of cases'. Four customers pointed out that switching from a floor-standing product to wall-hung product required sufficient available wall space. Third party competitors all stated that it would not be difficult for a customer to switch between a wall-hung boiler and a floor-standing boiler.
37. On the supply side, one competitor, which produces both floor-standing and wall-hung boilers, told the CMA that increasing production of either wall-hung or floor-standing boilers would not be difficult.
38. Based on the information provided by the Parties, the CMA noted that it could not be ruled out that some customers which needed boilers with larger power outputs would be unable to switch from a floor-standing product to a wall-hung product. Moreover, based on third party responses, for some customers, site conditions may make switching between these boiler types difficult.
39. However, the evidence suggests that all non-condensing commercial boilers are also floor-standing boilers. Therefore, non-condensing commercial boilers can be considered a sub-segment of floor-standing commercial boilers. The Parties' combined share of supply of non-condensing boilers is more than double their combined share of supply of condensing floor-standing boilers ([60–70]% compared with [20–30]%), suggesting that the merger is unlikely to give rise to competition concerns in a sub-segment of condensing floor-standing boilers. This is supported by evidence from third parties which indicates that there is a greater number of suppliers active in the supply of floor-standing boilers as a whole than in the supply of non-condensing boilers. The CMA finds, in its competitive assessment below (see paragraphs 88 and 89), that the Merger does not give rise to an SLC in the supply of non-condensing boilers.
40. For these reasons, the CMA believes that a separate assessment of the impact of the Merger on floor-standing commercial boilers is unnecessary.

Oil-fuelled and gas-fuelled commercial boilers

41. The Parties told the CMA that it is not appropriate to distinguish between gas-fuelled and oil-fuelled boilers from the perspective of manufacturing and supplying boiler units as it is the 'burner' component of a boiler which

¹⁰ Paragraph 21.

determines the suitability of a boiler for a particular type of fuel.¹¹ The Parties submitted that burners are regularly purchased by customers separately, after acquiring the main boiler unit from manufacturers.

42. In Remeha Group/Baxi Holdings, the European Commission was not conclusive on whether fuel type was a relevant distinction. The European Commission noted that, while some customers and competitors used this distinction, others did not think it suitable.¹²
43. Customers told the CMA that switching between oil-fuelled and gas-fuelled commercial boilers may be difficult where the site is located off the gas network. Three customers stated that switching is possible if both types of fuel are available.
44. No third party suggested that, where access to the gas network is available, it is difficult to switch between oil and gas-fuelled boilers.
45. On the basis that customers who do not have access to a gas fuel source (eg customers who live in an area off the gas network) will be unable to switch to a gas-fuelled boiler in the event of a price rise of oil-fuelled boilers, the CMA has, on a cautious basis, carried out a separate assessment of the impact of the Merger on oil-fuelled commercial boilers.

Segmentation by power output

46. The Parties provided market shares within four theoretical segments¹³ ('performance categories') based on power output, but submitted that it is not appropriate to subdivide the market by performance category. The Parties said that there is a high degree of demand-side substitutability between boilers belonging to different performance categories and that customers requiring a high output have a choice between using a single large boiler or several smaller boilers.
47. The Parties provided a report on the heating product market in the UK prepared by BRG¹⁴ (**the BRG report**) which states that 'since the installation of modularised wall-hung gas boilers is likely to continue to grow in popularity, future market prices and values are likely to decrease (per unit).' The Parties submitted that this demonstrates that boilers in the lower performance categories are substitutable for those in the higher-performance categories.

¹¹ The Parties told the CMA that 'pressure jet' boilers do not include an integrated burner, but are rather designed to be used with a separate fuel burner. The Parties said that most oil-fuelled boilers are of the 'pressure jet' type.

¹² Paragraph 18.

¹³ The categories are (i) 44.1 – 73.2 kW; (ii) 73.3 – 586 kW; (iii) 586.1 – 1,172 kW; and (iv) >1,172 kW.

¹⁴ The European Heating Product Markets Report – United Kingdom, BRG Building Solutions, March 2014.

48. In Remeha Group/Baxi Holdings, the European Commission considered whether boiler markets should be distinguished by performance category but noted that ‘there is...a sliding scale of performances, which makes for a continuum.’ Its report states that the technology, the route to market and the main providers are largely the same across performance categories.^{15,16}
49. On the basis of this evidence, the CMA has not defined separate frames of reference based on different performance categories. However, where relevant, the CMA has considered the extent of the constraint between commercial boilers of different power outputs in its competitive assessment.

Conclusion on product scope

50. For the reasons set out above, the CMA has considered, on a cautious basis, the impact of the Merger on the supply of:
- all commercial boilers;
 - non-condensing commercial boilers; and
 - oil-fuelled commercial boilers.
51. However, it was not necessary for the CMA to reach a conclusion on the product frame of reference, since, as set out below, no competition concerns arise on any plausible basis.

Geographic scope

52. The Parties submitted that the relevant geographic market is European Economic Area (EEA) wide. They submitted data on the value and volume of commercial boilers imported by them into the UK in 2014, as presented in Table 1.

TABLE 1: **Volume and value of parties’ imports (2014)**

	Import volume	Import value (£)	Total volume	Total Value (£)
Hamworthy	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
ISG	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]

Source: the Parties

¹⁵ Paragraph 33.

¹⁶ In Robert Bosch/Buderus (COMP/M.2657, EC, 10 July 2003) the European Commission examined the distinction between boilers with power outputs up to 70 kW and those with outputs above 70 kW and noted competitor views that larger boilers were appropriate for larger scale applications (ie heating spaces of 1400 square metres in size and larger) (paragraph 15).

53. In Remeha Group/Baxi Holdings, the European Commission noted that, although the bulk of commercial customers were national or regional organisations, it found that customers of commercial boilers were either actively sourcing or at least contemplating EEA-wide purchases. In Bosch Thermotechnik/Loos,¹⁷ the European Commission noted the relevant geographic market for the higher performance category boilers could be EEA-wide, whereas the lower performance category boiler markets could be national. However, in both these cases, the precise definition of the relevant geographic market was left open.¹⁸
54. Only one customer told the CMA that it had imported any commercial boilers in the last three years and the value of its imports was very low (about £5,000). One wholesaler said that, although it does not import these products, it does purchase from the UK branches of manufacturers based outside the UK. Another wholesaler stated that, although non-UK manufacturers could meet its needs, it would likely require a UK-based sales team in order to make purchases from them. It said that many of the boilers that it purchased are manufactured outside of the UK before being imported into the UK by the manufacturer.
55. On the basis of this evidence, and on a cautious basis, the CMA has assessed the impact of the Merger on the supply of commercial boilers to UK customers.
56. However, it was not necessary for the CMA to reach a conclusion on the geographic frame of reference, since, as set out below, no competition concerns arise on any plausible basis.

Conclusion on frame of reference

57. For the reasons set out above, the CMA has considered the impact of the Merger on:
- (a) the supply of commercial boilers to UK customers;
 - (b) the supply of non-condensing commercial boilers to UK customers; and
 - (c) the supply of oil-fuelled commercial boilers to UK customers.

¹⁷ COMP/M.5489, European Commission, 16 July 2009.

¹⁸ Paragraph 14.

Competitive assessment

Horizontal unilateral effects

58. Horizontal unilateral effects may arise when one firm merges with a competitor that previously provided a competitive constraint, allowing the merged firm profitably to raise prices or degrade quality on its own and without needing to coordinate with its rivals.¹⁹ Horizontal unilateral effects are more likely when the merging parties are close competitors.
59. The CMA assessed whether it is or may be the case that the Merger has resulted, or may be expected to result, in an SLC in relation to unilateral horizontal effects in:
- (a) the supply of commercial boilers to UK customers;
 - (b) the supply of non-condensing commercial boilers to UK customers; and
 - (c) the supply of oil-fuelled commercial boilers to UK customers.

Commercial boilers

Shares of supply

60. The Parties submitted their shares of supply for all commercial boilers, as well as for several sub-segments. These share of supply figures are presented in Table 2. The Parties have a combined share of supply of all commercial boiler sales of [30–40]%, with an increment arising from the Merger of [0–10]%.
61. The Parties told the CMA that the figures for total commercial boiler sales and the total sales in each segment, which are used to calculate the shares of supply in Table 2, were taken from reports prepared by the Industrial and Commercial Energy Association (**ICOM**), an organisation which represents the non-domestic heating sector. The CMA has verified this information with ICOM and believes that the shares of supply in Table 2 are reasonable estimates.²⁰

¹⁹ [Merger Assessment Guidelines](#), from paragraph 5.4.1.

²⁰ 

TABLE 2 – the Parties' shares of supply – sales volumes (2014)

Segment (>44 kW/h)	Atlantic share of supply (%)	ISG share of supply (%)	Combined share of supply (%)
All commercial boilers	[0–10]	[20–30]	[30–40]
Floor-standing commercial boilers	[10–20]	[20–30]	[40–50]
Wall-hung commercial boilers	[0–10]	[20–30]	[20–30]
Oil-fuelled commercial boilers	[0–10]	[30–40]	[40–50]
Gas-fuelled commercial boilers	[0–10]	[20–30]	[30–40]
Non-condensing commercial boilers	[10–20]	[40–50]	[60–70]
Condensing commercial boilers	[0–10]	[20–30]	[30–40]
Performance categories			
44.1 – 73.2 kW	[0–10]	[20–30]	[30–40]
73.3 – 586 kW	[0–10]	[20–30]	[30–40]
586.1 – 1,172 kW	[20–30]	[0–10]	[30–40]
>1,172 kW	[0–10]	[0–10]	[0–10]

Source: the Parties.²¹

62. The Parties provided estimates of competitors' shares of supply for all commercial boilers. In addition, the CMA obtained more accurate sales figures from three competitors,²² but was not able to verify sales figures for every competitor. The CMA revised the estimated shares of supply provided by the Parties based on the additional information it had received to give the figures shown in Table 3.²³

²¹ Shares based on ICOM market volume figures.

²² [X], [X] and [X].

²³ Sales confirmed by the CMA represent approximately [X]% of the total commercial boilers sold in the UK in 2014, based on the total market size in the ICOM data.

TABLE 3 - Parties and competitors' shares of supply – sales volumes - all commercial boilers (2014)

Competitor	Estimated UK Shares (%)
BDR Thermea	[20–30]
ISG	[20–30]
Vaillant Group	[10–20]
Atlantic	[0–10]
Hoval	[0–10]
Viessman	[0–10]
Ariston Thermo Group	[0–10]
Buderus-Bosch	[0–10]
Clyde	[0–10]
Ferrol	[0–10]
Stibel	[0–10]
Lochinvar	[0–10]
Stokvis	[0–10]
Vokera	[0–10]
Sime	[0–10]

Source: The Parties and competitors.

63. The CMA also noted an internal ISG document dated Q1 2015 (the **Ideal Commercial Strategy Presentation**) which identified several smaller competitors with estimated shares of supply of [0–10]% each. These competitors were Clyde, Ferrol, Stibel, Lochinvar, Stokvis, Vokera and Sime.²⁴
64. The BRG report states that ISG is the largest company in the commercial boiler market, with Vaillant, BDR Thermea and Hamworthy holding substantial shares of supply.²⁵

Closeness of competition and remaining competitive constraints

Parties' views

65. The Parties told the CMA that companies competing in the commercial boilers sector generally produce boilers across all of the segments shown in Table 2. However, they submitted that they do not compete closely due to (i) their different routes to market and (ii) the type of products they each offer.

²⁴ Ideal Commercial Strategy Presentation – Q1 2015, Slide 19.

²⁵ P55.

- *Routes to market*

66. The Parties told the CMA that Hamworthy's commercial boiler sales in the UK are primarily made through direct, one-off transactions with installers, whereas ISG's sales are made exclusively to national distributors and merchants. They said that prices charged to distributors, merchants and large firms of installers are typically determined through a process of negotiation, often with large discounts, and are subject to periodic review.²⁶

- *Product types*

67. The Parties said that Hamworthy is generally perceived by the market as a premium supplier and its marketing and branding activities support this view. They said that ISG's commercial boilers are viewed as being more 'aggressively priced'. They said that Hamworthy's boilers come with longer warranties compared to ISG.

Third parties' views

68. [X] They said that, if ISG's boilers were not available, they would source from [X], [X] or [X]. One [X] listed [X] other suppliers from which it purchased commercial boilers.
69. [X] customers also listed several other suppliers of commercial boilers from which they were either currently sourcing or which they considered would be able to meet their requirements. Several customers named BDR Thermea and Hoval. Three named Viessmann and two named Buderus-Bosch. MHS, Energy CHP, Cogenco, ACV and Clyde were each mentioned once.
70. One competitor told the CMA that the Parties both have a good range of wall-hung, floor-standing and condensing products but rarely competed with each other due to the aggressive pricing strategy of ISG.
71. No third parties raised concerns in relation to the Merger, either in respect of commercial boilers generally or in any particular segment.

CMA assessment and conclusion on commercial boilers

72. The Parties have a moderate combined share of supply of all commercial boiler sales in the UK, with a small increment arising from the Merger. There are several existing competitors which together will continue to provide a

²⁶ They said that the four main merchants in the UK are BSS, Wolseley, Saint-Gobain and Grafton Merchanting. Almost [X]% of ISG's commercial boiler sales are made to [X].

strong competitive constraint on the merged entity. Moreover, no third party raised any concerns about the Merger.

73. On the basis of this evidence, the CMA believes that the Merger does not give rise to a realistic prospect of an SLC as a result of horizontal unilateral effects in the supply of commercial boilers to UK customers.
74. In relation to each of the condensing, wall-hung and gas-fuelled segments, the CMA notes that the Parties' combined shares of supply do not vary significantly from their combined share of supply for all commercial boilers (see Table 2).²⁷ The CMA believes that, in determining that the Merger does not give rise to a realistic prospect of an SLC in respect of the supply of commercial boilers in the UK, it can conclude the same in respect of each of these segments.

Non-condensing commercial boilers

Impact of ErP legislation on sales of non-condensing boilers

75. The Parties told the CMA that, as a result of the implementation of the ErP legislation, no non-condensing boilers with an output of 400 kW or less may be sold by manufacturers in the UK from 26 September 2015. The Parties said that this will thereby eliminate the vast majority of the non-condensing commercial boiler segment in the UK. [REDACTED]
76. However, the Parties also told the CMA that, in certain limited circumstances, it may be possible for manufacturers to continue to sell a particular type of non-condensing boiler without a burner unit after September 2015. The Parties said that there is some ambiguity as to whether or not the ErP legislation will prohibit the sale of 'pressure jet'²⁸ boilers sold without a burner and with an output of 400 kW or less. [REDACTED]²⁹
77. An internal Hamworthy document provided by the Parties stated that the effect of the ErP will be to move the small to medium size boiler market (boilers of 400 kW or less) into condensing-only models.³⁰
78. A wholesaler also told us that non-condensing boilers of 400 kW or less will be phased out in September 2015 as they are not energy efficient.

²⁷ The Parties combined share of supply for all commercial boilers is [30–40]%. Their combined shares for each of the condensing, wall-hung and gas-fuelled segments are [20–30]%, [20–30]% and [30–40]% respectively.

²⁸ The Parties told the CMA that a pressure jet boiler is an older style of boiler which does not include an integrated burner, but rather is designed to be used with a separate fuel burner (eg an oil burner or a gas burner).

²⁹ [REDACTED]

³⁰ Product withdrawal notice, PWN0006-A.

79. The BRG report states that the market for non-condensing commercial products is likely to disappear from the UK market over the next 18 months and that it is likely that most manufacturers will cease to produce them in the near future.

Shares of supply

80. As in Table 2, the Parties' combined share of supply of non-condensing commercial boilers in the UK was [60–70]% in 2014, with an increment of [10–20]% arising from the Merger. ISG sold [X] non-condensing commercial boilers in 2014, whereas Atlantic sold [X]. The total number of non-condensing commercial boilers sold in 2014 was [X], representing [10–20]% of all commercial boiler sales.
81. [X] told the CMA that it sold [X] non-condensing boilers in 2014, implying a market share of around [10–20]%.
82. With regard to non-condensing commercial boilers with power outputs of more than 400 kW (and therefore not covered under ErP), Hamworthy sold [X] units in 2014, ISG sold [X], [X] sold [X] and [X] sold [X]. The sales figures of other competitors are not known.

Competitive constraints

- *Parties' views*

83. The Parties told the CMA that their high combined share of supply of non-condensing commercial boilers 'does not truly reflect a position of market power.' They said that the supply of these boilers will be altered fundamentally by the ErP. They submitted that, with the exception of their pressure jet models, none of the non-condensing boilers of 400 kW or less currently sold by Hamworthy and ISG will be sold in the UK after September 2015.
84. In relation to pressure jet boiler models of 400 kW or less, Atlantic told the CMA that, if the eventual interpretation of the ErP allows the continued sale of these boilers, Hamworthy would continue to supply them, provided there was sufficient customer demand. ISG said that, as its products of this type are imported from third parties based outside the UK, it does not yet need to decide whether to continue to sell them after September 2015 but intends to

do so if allowed.³¹ The Parties said that ISG sold [X] boilers of this type in 2014 and Atlantic sold [X].

85. In relation to non-condensing commercial boilers with power outputs above 400 kW (ie those which will be unaffected by the ErP legislation), the Parties told the CMA that they intend to continue to supply these products in the UK. However, ISG said that it did not expect any significant demand for these models. Indeed, the Parties provided information showing that, unrelated to the Merger, Hamworthy took the decision to cease production of the model that accounted for [X]% of these sales in 2014.³² As a result, Hamworthy forecast sales of only [X] non-condensing units above 400 kW in 2015.³³

- *Third parties' views*

86. One customer told the CMA that MHS, Hoval and BDR Thermea were active in the supply of non-condensing boilers. Another customer said that BDR Thermea and MHS were credible competitors across all types of commercial boilers. One customer said that Ferroli was a good alternative to the Parties in the non-condensing boiler segment.
87. Most competitors said that they would continue to sell non-condensing commercial boilers with power outputs above 400 kW and, legislation permitting, those with power outputs of 400 kW or less. One competitor said that Buderus-Bosch and Vaillant were also active in the supply of non-condensing commercial boilers.

CMA assessment and conclusion on non-condensing commercial boilers

88. Given that the majority of non-condensing boilers sold in 2014 will not be compliant with the requirements of the ErP, the CMA places little weight on historical share of supply figures in this segment. Based on the evidence before it, the CMA believes that, to the extent that non-condensing commercial boilers can be sold in the UK after the implementation of the ErP, there are several existing competitors which together will continue to provide a strong competitive constraint on the merged entity. Moreover, no third party raised any concern about the Merger in relation to this (or any other) segment.

³¹ The Ideal Commercial Strategy Presentation lists ten competitors which supply 'pressure jet' boilers, and states the names of competitors' relevant product lines. Those listed were BDR Thermea, Buderus-Bosch, Ferroli, Hoval, MHS/Elco, Sime, Stokvis, Stibel, Viessman.

³² Product withdrawal notice PWN0006-A.

³³ Falling from 64 in the previous year.

89. On the basis of this evidence, the CMA believes that the Merger does not give rise to a realistic prospect of an SLC as a result of horizontal unilateral effects in the supply of non-condensing commercial boilers to UK customers.

Oil-fuelled commercial boilers

Shares of supply

90. As shown in Table 2, the Parties' combined share of supply of oil-fuelled commercial boiler sales in the UK was [40–50]% in 2014, with an increment of [0–10]% arising from the Merger. ISG sold [X] oil-fuelled commercial boilers in 2014, whereas Atlantic sold [X]. The total number of oil-fuelled commercial boilers sold in the UK in 2014 was 470.
91. [X] said that it sold [X] oil-fuelled commercial boilers in 2014, and [X] said that it sold [X], implying market shares of [10–20]% and [0–10]% respectively.
92. The Parties submitted that the proportion of commercial boilers fuelled by oil had declined significantly. In 2014, 97% of commercial boilers sold in the UK were gas-fuelled.³⁴ The Parties said that, given the low level of sales, market shares were heavily influenced by a small number of transactions and, as such, did not provide a true indication of market power.

Closeness of competition and competitive constraints

• Parties' views

93. The Parties told the CMA that Atlantic's oil-fuelled boilers had higher energy efficiency ratings and longer standard warranties than those offered by ISG. They said that ISG did not manufacture any oil-fuelled commercial boilers in the UK but instead imported them from manufacturers in Italy and France.
94. The Parties told the CMA that 'pressure jet' boilers are predominantly oil-fuelled. ISG's Ideal Commercial Strategy Presentation (see paragraph 63) lists ten competitors which supply these boilers.

• Third parties' views

95. [X]

³⁴ The Parties provided historic data showing that the number of 'pressure jet' boilers sold in the UK had declined from 1300 in 2007 to 500 in 2014. The proportion of gas boilers sold has risen from 90% to 97% over the same period.

96. A customer told the CMA that BDR Thermea and MHS were credible competitors across all types of commercial boilers. Another customer said that Hoval and BDR Thermea were strong in this segment and that there were 'numerous' other companies supplying oil-fuelled boilers.
97. No third party said that Atlantic and ISG were close competitors in this segment.

CMA assessment and conclusion on oil-fuelled commercial boilers

98. The Parties have a moderate combined share of supply of oil-fuelled commercial boiler sales in the UK, with a small increment arising from the Merger. There are several existing competitors which together will continue to provide a strong competitive constraint on the merged entity. Moreover, no third party raised any concern about the Merger in relation to this (or any other) segment.
99. On the basis of this evidence, the CMA believes that the Merger does not give rise to a realistic prospect of an SLC as a result of horizontal unilateral effects in the supply of oil-fuelled commercial boilers to UK customers.

Conclusion on horizontal unilateral effects

100. As set out above, the CMA believes that the Merger does not give rise to a realistic prospect of an SLC as a result of horizontal unilateral effects in relation to:
- (a) the supply of commercial boilers to UK customers;
 - (b) the supply of non-condensing commercial boilers to UK customers; and/or
 - (c) the supply of oil-fuelled commercial boilers to UK customers.

Barriers to entry and expansion

101. Entry, or expansion of existing firms, can mitigate the initial effect of a merger on competition, and in some cases may mean that there is no SLC. In assessing whether entry or expansion might prevent an SLC, the CMA considers whether such entry or expansion would be timely, likely and sufficient.³⁵

³⁵ [Merger Assessment Guidelines](#), from paragraph 5.8.1.

102. The Parties told the CMA that it is relatively easy for a pre-existing supplier of commercial boilers located in one part of the EEA to expand into new geographical markets through engaging in cross-border sales due to the harmonised regulatory framework.
103. The Parties submitted that the commercial boiler market is not characterised by long-term contracts with minimum volume requirements, but rather by orders made on an ad-hoc basis by installers in response to new projects, as well as a small number of contracts with large installers which are subject to periodic review. The Parties said that a new entrant could also make supplies to a merchant or distributor, which would have the necessary logistics infrastructure and geographic footprint to market products nationwide. The Parties said that these market characteristics provided opportunities for a new or expanding entrant to compete for orders from the clients of larger incumbent firms in the market.
104. Two competitors told the CMA that they had spare production capacity. A third competitor said that manufacturers typically produce a range of boilers and would have little difficulty in increasing production of a particular type.
105. However, it has not been necessary for the CMA to conclude on barriers to entry or expansion as the Merger does not give rise to competition concerns.

Third party views

106. The CMA contacted customers and competitors of the Parties as well as ICOM and the Department of Energy & Climate Change. No third party raised concerns about the Merger.
107. Third party comments have been taken into account where appropriate in the competitive assessment above.

Decision

108. Consequently, the CMA does not believe that it is or may be the case that the Merger has resulted, or may be expected to result, in an SLC within a market or markets in the United Kingdom.
109. The Merger will therefore **not be referred** under section 22(1) of the Act.

Andrew Wright
Director, Mergers
Competition and Markets Authority
5 June 2015